MANDRILL TECH SDN. BHD.
201501005176 (1130506-W)
(Incorporated in Malaysia)

REPORTS AND FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

Registration No. 201501005176 (1130506-W)

MANDRILL TECH SDN. BHD.
(Incorporated in Malaysia)

REPORTS AND FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

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DIRECTORS' REPORT

The directors hereby submit their report together with the audited financial statements of the Company for the financial year ended 31 December 2024.

PRINCIPAL ACTIVITIES

The principal activities of the Company is principally engaged as a global services centre providing information technology outsourcing such as Software Development, IT Helpdesk/Tech Support, Testing and Quality Assurance, Business Management and Integration and Application Development and Maintenance.

There have been no significant changes in these activities during the financial year.

RESULTS

	RM
Profit for the financial year, net of tax	2,809,713

DIVIDENDS

No dividend has been paid or declared by the Company since the end of the previous financial year.

The directors do not recommend payment of any dividends in respect of the financial year ended 31 December 2024.

RESERVES OR PROVISIONS

There were no material transfers to or from reserves or provisions during the financial year other than as disclosed in the financial statements.

BAD AND DOUBTFUL DEBTS

Before the financial statements of the Company was prepared, the directors took reasonable steps to ascertain that action had been taken in relation to the writing off of bad debts and the making of allowance for doubtful debts and had satisfied themselves that there were no known bad debts and that no allowance for doubtful debts was necessary.

At the date of this report, the directors are not aware of any circumstances which would render it necessary to write off any bad debts or to make any allowance for doubtful debts in respect of the financial statements of the Company inadequate to any substantial extent.

DIRECTORS' REPORT (CONTINUED)

CURRENT ASSETS

Before the financial statements of the Company was prepared, the directors took reasonable steps to ensure that any current assets which were unlikely to be realised in the ordinary course of business including their values as shown in the accounting records of the Company had been written down to an amount which they might be expected so to realise.

At the date of this report, the directors are not aware of any circumstances that would render the values attributed to the current assets in the financial statements of the Company misleading.

VALUATION METHODS

At the date of this report, the directors are not aware of any circumstances which have arisen which render adherence to the existing method of valuation of assets or liabilities of the Company misleading or inappropriate.

CONTINGENT AND OTHER LIABILITIES

At the date of this report, there does not exist:

(i) any charge on the assets of the Company which has arisen since the end of the financial year which secures the liabilities of any other person; and

(ii) any contingent liabilities in respect of the Company which has arisen since the end of the financial year.

In the opinion of the directors, no contingent or other liability of the Company has become enforceable, or is likely to become enforceable, within the period of twelve months after the end of the financial year which will or may substantially affect the ability of the Company to meet its obligations as and when they fall due.

CHANGE OF CIRCUMSTANCES

At the date of this report, the directors are not aware of any circumstances not otherwise dealt with in this report or the financial statements of the Company which would render any amount stated in the financial statements misleading.

ITEMS OF MATERIAL AND UNUSUAL NATURE

In the opinion of the directors,

(i) the results of the operations of the Company for the financial year was not substantially affected by any item, transaction or event of a material and unusual nature; and

(ii) no item, transaction or event of a material and unusual nature has arisen in the interval between the end of the financial year and the date of this report which is likely to affect substantially the results of the operations of the Company for the financial year in which this report is made.

DIRECTORS' REPORT (CONTINUED)

AUDITORS' REMUNERATION AND INDENMITY

The auditors' remuneration of the Company during the financial year was RM40,000.

The Company has agreed to indemnify the auditors of the Company as permitted under Section 289 of the Companies Act 2016 in Malaysia.

ISSUE OF SHARES AND DEBENTURES

During the financial year, no new issue of shares or debentures were made by the Company.

OPTIONS GRANTED OVER UNISSUED SHARES

No options were granted to any person to take up the unissued shares of the Company during the financial year.

DIRECTORS

The directors in office during the financial year and during the period from the end of the financial year to the date of the report are:

Low Chan Phan
Suhendra Arianto (Resigned on 18 December 2024)
Yong Khai Ling (Appointed on 18 December 2024)

DIRECTORS' INTERESTS

According to the Register of Directors' Shareholdings required to be kept by the Company under Section 59 of the Companies Act 2016 in Malaysia, the interests of directors in office at the end of the financial year in shares in the Company during the financial year were as follows:

	← Number of ordinary shares →			
	At 1 January 2024	Bought	Sold	At 31 December 2024
Direct interest:				
Low Chan Phan	67,100	-	-	67,100
Yong Khai Ling	4,000	-	-	4,000

Other than as stated above, none of the directors in office at the end of the financial year had any interest in ordinary shares or debentures of the Company and its related corporations during the financial year.

DIRECTORS' REPORT (CONTINUED)

DIRECTORS' BENEFITS

Since the end of the previous financial year, no director of the Company has received or become entitled to receive any benefit (other than benefits included in the aggregate amount of emoluments received or due and receivable, by the directors as shown below) by reason of a contract made by the Company or a related corporation with the director or with a firm of which the director is a member, or with a company in which the director has a substantial financial interest.

	RM
Director of the Company	
- Salaries and allowances	644,000
- Defined contribution plans	49,320
- Other related benefits	1,217
	694,537

Neither during, nor at the end of the financial year, was the Company a party to any arrangements where the object is to enable the directors to acquire benefits by means of the acquisition of shares in, or debentures of the Company or any other body corporate.

INDEMNITY TO DIRECTORS AND OFFICERS

During the financial year, there was no indemnity coverage and insurance premium paid for the directors and officers of the Company.

AUDITORS

The auditors, Messrs Baker Tilly Monteiro Heng PLT, have expressed their willingness to continue in office.

DIRECTORS' REPORT (CONTINUED)

This report was approved and signed on behalf of the Board of Directors in accordance with a resolution of the directors.

.....
LOW CHAN PHAN
Director

.....
YONG KHAI LING
Director

Date: 30 JUN 2025

MANDRILL TECH SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2024

	Note	31.12.2024 RM	31.12.2023 Restated RM	1.1.2023 Restated RM
ASSETS				
Non-current assets				
Property, plant and equipment	5	1,458,638	1,202,038	226,975
Right-of-use assets	6	23,783	118,915	214,048
Investment property	7	1,095,680	1,120,582	1,145,484
Intangible assets	8	1,077,512	157,953	-
Investment in associate	9	-	-	45,000
Total non-current assets		**3,655,613**	**2,599,488**	**1,631,507**
Current assets				
Trade and other receivables	10	4,060,590	2,871,792	1,355,089
Development costs	11	546,419	-	-
Current tax assets		-	57,497	23,142
Cash and bank balances	12	96,898	74,192	54,727
Total current assets		**4,703,907**	**3,003,481**	**1,432,958**
TOTAL ASSETS		**8,359,520**	**5,602,969**	**3,064,465**
EQUITY AND LIABILITIES				
Equity attributable to owners of the Company				
Share capital	13	100,100	100,100	100,100
Retained earnings / Accumulated losses		2,578,895	(230,818)	(333,482)
TOTAL EQUITY		**2,678,995**	**(130,718)**	**(233,382)**

MANDRILL TECH SDN. BHD.
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STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2024 (CONTINUED)

	Note	31.12.2024 RM	31.12.2023 Restated RM	1.1.2023 Restated RM
Non-current liabilities				
Loans and borrowings	**14**	2,707,151	2,786,168	1,912,373
Lease liabilities	**15**	-	25,889	127,328
Total non-current liabilities		**2,707,151**	**2,812,057**	**2,039,701**
Current liabilities				
Loans and borrowings	**14**	578,947	847,971	323,510
Lease liabilities	**15**	25,889	101,439	96,520
Trade and other payables	**16**	1,732,584	1,972,220	838,116
Contract liabilities	**17**	46,178	-	-
Current tax liabilities		589,776	-	-
Total current liabilities		**2,973,374**	**2,921,630**	**1,258,146**
TOTAL LIABILITIES		**5,680,525**	**5,733,687**	**3,297,847**
TOTAL EQUITY AND LIABILITIES		**8,359,520**	**5,602,969**	**3,064,465**

The accompanying notes form an integral part of these financial statements.

MANDRILL TECH SDN. BHD.
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STATEMENT OF COMPREHENSIVE INCOME
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

	Note	2024 RM	2023 Restated RM
Revenue	18	17,753,708	11,320,033
Cost of sales		(12,338,627)	(9,938,733)
Gross profit		**5,415,081**	**1,381,300**
Other income	19	91,200	146,400
Administrative expenses		(1,555,734)	(1,074,780)
Other operating expenses		(12,214)	(191,798)
Operating profit		**3,938,333**	**261,122**
Finance costs	20	(203,847)	(158,458)
Profit before tax	21	**3,734,486**	**102,664**
Income tax expense	23	(924,773)	-
Profit for the financial year, representing total comprehensive income for the financial year		**2,809,713**	**102,664**

The accompanying notes form an integral part of these financial statements.

MANDRILL TECH SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF CHANGES IN EQUITY
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

		Attributable to owners of the Company		
	Note	Share capital RM	Retained earnings RM	Total equity RM
At 1 January 2023 :-				
- As previously stated		**100,100**	**(294,561)**	**(194,461)**
- Prior year adjustments	**27**	-	(38,921)	(38,921)
At 1 January 2023 (restated)		100,100	(333,482)	(233,382)
Total comprehensive income for the financial year				
Profit for the financial year, representing total comprehensive income for the financial year :-				
- As previously stated		-	124,627	124,627
- Prior year adjustments	**27**	-	(21,963)	(21,963)
		-	102,664	102,664
At 31 December 2023 (restated)		**100,100**	**(230,818)**	**(130,718)**
Total comprehensive income for the financial year				
Profit for the financial year, representing total comprehensive income for the financial year		-	2,809,713	2,809,713
At 31 December 2024		**100,100**	**2,578,895**	**2,678,995**

The accompanying notes form an integral part of these financial statements.

MANDRILL TECH SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF CASH FLOWS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

	Note	31.12.2024 RM	31.12.2023 Restated RM
Cash flows from operating activities			
Profit before tax		3,734,485	102,664
Adjustments for:			
Amortisation of intangible assets		81,829	2,647
Bad debt written off		-	146,800
Depreciation of investment property		24,902	24,902
Depreciation of property, plant and equipment		281,534	120,998
Depreciation of right-of-use assets		95,132	95,133
Loss on disposal of investment in associate		-	44,998
Loss on disposal of property, plant and equipment		12,214	-
Finance costs		203,847	158,458
Operating profit before changes in working capital		**4,433,943**	**696,600**
Changes in working capital:			
Development costs		(546,419)	-
Trade and other receivables		(528,493)	(1,538,159)
Trade and other payables		17,466	658,235
Contract liabilities		46,178	-
Net cash from/(used in) operations		**3,422,675**	**(183,324)**
Income tax paid		(277,500)	(34,358)
Income tax refunded		-	3
Net cash flows from/(used in) operating activities		**3,145,175**	**(217,679)**
Cash flows from investing activities			
Purchase of intangible asset		(1,001,388)	(160,600)
Purchase of property, plant and equipment	12(a)	(137,420)	(187,061)
Proceeds from disposal of investment in associates		-	2
Proceeds from disposal of property, plant and equipment		72	-
Net cash flows used in investing activities		**(1,138,736)**	**(347,659)**

MANDRILL TECH SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF CASH FLOWS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

	Note	31.12.2024 RM	31.12.2023 Restated RM
Cash flows from financing activities			
Interests paid		(203,847)	(158,458)
Net change in amount owing by related parties		(891,325)	(80,345)
Net change in amount owing to a director		(26,081)	430,871
Net change in lease liabilities		(101,439)	(96,520)
Repayment of hire purchase payables		(143,427)	(43,835)
Repayment of term loans		(288,081)	(598,931)
Drawdown of term loans		-	800,000
Net cash flows (used in)/from financing activities		**(1,654,200)**	**252,782**
Net increase/(decrease) in cash and cash equivalents		352,239	(312,556)
Cash and cash equivalents at the beginning of the financial year		(347,386)	(34,829)
Cash and cash equivalents at the end of the financial year	**12**	**4,853**	**(347,386)**

The accompanying notes form an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS

1. CORPORATE INFORMATION

Mandrill Tech Sdn. Bhd. (the "Company") is a private limited liability company, incorporated and domiciled in Malaysia. The registered office of the Company is located at Level 5, Tower 8, Avenue 5, Horizon 2, Bangsar South City, 59200 Kuala Lumpur. The principal place of business of the Company is located at A-18-5, The Vertical Business Suite, Tower A, Avenue 3, No. 8, Jalan Kerinchi, 59200 Bangsar South, Kuala Lumpur.

The principal activities of the Company is principally engaged in global services centre providing information technology outsourcing such as Software Development, IT Helpdesk/Tech Support, Testing and Quality Assurance, Business Management and Integration and Application Development and Maintenance.

There have been no significant changes in the nature of these principal activities during the financial year.

The financial statements were authorised for issue by the Board of Directors in accordance with a resolution of the directors on 30` June 2025.

2. BASIS OF PREPARATION

2.1 Statement of compliance

The financial statements of the Company have been prepared in accordance with the Malaysian Financial Reporting Standards ("MFRSs"), the International Financial Reporting Standards ("IFRSs") and the requirements of Companies Act 2016 in Malaysia.

2.2 Explanation of transition to MFRSs

Transition to MFRSs

The financial statements of the Company for the financial year ended 31 December 2024 are the first set of financial statements prepared in accordance with the MFRSs, including MFRS 1 *First-time Adoption of MFRSs* .For periods up to and including the financial year ended 31 December 2023, the Company prepared its financial statements in accordance with Malaysian Private Entities Reporting Standard ("MPERS") in Malaysia.

In preparing these financial statements, the Company's opening MFRSs statement of financial position was prepared as at 1 January 2023 (the date of transition to MFRSs).

NOTES TO THE FINANCIAL STATEMENTS (CONTINEUD)

2. BASIS OF PREPARATION (CONTINEUD)

2.2 Explanation of transition to MFRSs (continued)

The Company has consistently applied the same accounting policies in the preparation of the financial statements of the Company for the financial year ended 31 December 2024, the comparative financial statements for the financial year ended 31 December 2023, and the opening MFRSs statement of financial position as at 1 January 2023. The transition to the MFRSs framework does not have significant effect on the financial statements of the Company except as those discussed below:

MFRS 16 *Leases*

Effective 1 January 2019, MFRS 16 has replaced MFRS 117 *Leases* and IC Int 4 *Determining whether an Arrangement contains a Lease.*

Under MFRS 117, leases are classified either as finance leases or operating leases. A lessee recognises on its statement of financial position assets and liabilities arising from finance leases. For operating leases, lease payments are recognised as an expense on a straight-line basis over the lease term unless another systematic basis is more representative of the time pattern of the user's benefit.

MFRS 16 eliminates the distinction between finance and operating leases. Instead, all leases are brought onto the statements of financial position except for short-term and low value asset leases.

The Company has applied MFRS 16 using the full retrospective approach, as if the lease had already been effective at the commencement date of existing lease contract.

Definition of a lease

MFRS 16 changes the definition of a lease mainly to the concept of control. MFRS 16 defines that a contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. Control is conveyed where the customer has both the right to direct the use of the identified asset and to obtain substantially all of the economic benefits from that use.

The Company has elected the practical expedient not to reassess whether a contract contains a lease at the date of initial application. Accordingly, the definition of a lease under MFRS 16 was applied only to contracts entered or changed on or after 1 January 2023. Existing lease contracts that are still effective on 1 January 2023 will be accounted for as lease contracts under MFRS 16.

NOTES TO THE FINANCIAL STATEMENTS (CONTINEUD)

2. BASIS OF PREPARATION (CONTINEUD)

2.2 Explanation of transition to MFRSs (continued)

The Company has consistently applied the same accounting policies in the preparation of the financial statements of the Company for the financial year ended 31 December 2024, the comparative financial statements for the financial year ended 31 December 2023, and the opening MFRSs statement of financial position as at 1 January 2023. The transition to the MFRSs framework does not have significant effect on the financial statements of the Company except as those discussed below: (continued)

MFRS 16 *Leases* (continued)

Impact of the adoption of MFRS 16

The application of MFRS 16 resulted in changes in accounting policies and adjustments to the amounts recognised in the financial statements as at the date of initial application. Other than the enhanced new disclosures relating to leases, which the Company has complied with in the current financial period, the application of this standard does not have any significant effect on the financial statements of the Company, except for those as discussed below.

Classification and measurement

As a lessee, the Company previously classified leases as operating or finance leases based on its assessment of whether the lease transferred significantly all the risks and rewards incidental to ownership of the underlying asset to the Company.

On adoption of MFRS 16, for all its leases other than short-term and low value asset leases, the Company:

- recognised the right-of-use assets and lease liabilities in the statement of financial position as at the date of initial application;
- recognised depreciation of right-of-use assets and interest on lease liabilities in profit or loss for the current financial year; and
- separated the total amount of cash paid for leases into principal and interest portions (presented within financing activities) in the statement of cash flows for the current financial year.

Other adjustments

In addition to the adjustments described above, other items such as deferred taxes were adjusted to retained earnings as necessary upon application of MFRS 16 as at 1 January 2023.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

2. BASIS OF PREPARATION (CONTINUED)

2.3 New MFRS and amendments to MFRSs that have been issued, but yet to be effective

(a) The Company has not adopted the following new MFRS and amendments to MFRSs that have been issued, but yet to be effective:

		Effective for financial periods beginning on or after
New to MFRS		
MFRS 18	Presentation and Disclosure in Financial Statements	1 January 2027
Amendments to MFRSs		
MFRS 1	First-time Adoption of MFRSs	1 January 2026
MFRS 7	Financial Instruments: Disclosures	1 January 2026
MFRS 9	Financial Instruments	1 January 2026
MFRS 10	Consolidated Financial Statements	1 January 2026/ Deferred
MFRS 107	Statements of Cash Flows	1 January 2026
MFRS 121	The Effects of Changes in Foreign Exchange Rates	1 January 2025
MFRS 128	Investments in Associates and Joint Ventures	Deferred

(b) The Company plans to adopt the above applicable new MFRS and amendments to MFRSs when they become effective. A brief discussion on the above significant new MFRS and amendments to MFRSs that may be applicable to the Company are summarised below.

MFRS 18 Presentation and Disclosure in Financial Statements

MFRS 18 replaces MFRS 101 Presentation of Financial Statements. It retains many requirements from MFRS 101 without modification.

MFRS 18 introduces two subtotals which are to be presented in the statement of profit or loss – including "operating profit", which has been specifically defined. Income and expenses shall be presented in five categories: operating, investing, financing, income taxes and discontinued operations.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

2. BASIS OF PREPARATION (CONTINUED)

2.3 New MFRS and amendments to MFRSs that have been issued, but yet to be effective (continued)

(b) The Company plans to adopt the above applicable new MFRS and amendments to MFRSs when they become effective. A brief discussion on the above significant new MFRS and amendments to MFRSs that may be applicable to the Company are summarised below. (continued)

MFRS 18 Presentation and Disclosure in Financial Statements

MFRS 18 requires disclosure of explanations of the entity's company-specific measures that are related to the statement of profit or loss, referred to as management-defined performance measures ("MPMs"). The entity is required to reconcile MPMs to a total or subtotal required by MFRS 18 or another MFRS Accounting Standards. MFRS 18 also requires other disclosures, including how each MPM is calculated, what the MPM communication about the entity's financial performance, and any changes made to the MPMs in the year.

MFRS 18 adds new principles for aggregation and disaggregation of information. It requires the entity to classify the expenses in the "operating" category in the profit or loss by nature or function, or both. The entity that classifies operating expenses by functions are required to disclose in the notes to the financial statements, the amount of depreciation, amortisation, employee benefits, impairment losses and write-downs of inventories included in each line in the operating category. Subject to materiality, MFRS 18 requires items presented or disclosed as "other" to be labelled and/or described in as faithfully representative and precise a way as possible.

Amendments to MFRS 121 The Effects of Changes in Foreign Exchange Rates

Amendments to MFRS 121 respond to stakeholder feedback and concerns about diversity in practice in accounting for a lack of exchangeability between currencies.

Applying the Amendments, entities will be applying a consistent approach in determining if a currency can be exchanged into another currency. These amendments provide guidance on the spot exchange rate to use when a currency is not exchangeable into another currency and the disclosures entities need to provide to enable users of financial statements to understand the impact on the entities' financial performance, financial position and cash flows as a result of a currency being not exchangeable into another currency.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

2. BASIS OF PREPARATION (CONTINUED)

2.3 New MFRS and amendments to MFRSs that have been issued, but yet to be effective (continued)

(b) The Company plans to adopt the above applicable new MFRS and amendments to MFRSs when they become effective. A brief discussion on the above significant new MFRS and amendments to MFRSs that may be applicable to the Company are summarised below. (continued)

Amendments to MFRS 9 Financial Instruments and MFRS 7 Financial Instruments: Disclosures

These narrow scope amendments to MFRS 9 clarify the classification and measurement requirements, including:

- clarify how the contractual cash flows on financial assets with environmental, social and corporate governance and similar features should be assessed, specifically the assessment of interest focuses on what an entity is being compensated for, rather than how much compensation it receives. Nonetheless, the amount of compensation the entity receives may indicate that it is being compensated for something other than basic lending risks and costs.
- clarify the date on which a financial asset or a financial liability settled via electronic payment systems is derecognised. The Amendments permit an entity to derecognise a financial liability before it delivers cash on the settlement date if specified criteria are met.

Amendments to MFRS 7 introduces new disclosure requirements relating to investments in equity instruments designated at fair value through other comprehensive income and financial instruments with contingent features that do not relate directly to basic lending risks and costs.

2.4 Functional and presentation currency

The financial statements of the Company are measured using the currency of the primary economic environment in which it operates (the "functional currency"). The financial statements are presented in Ringgit Malaysia ("RM"), which is also the Company's functional currency, unless otherwise stated.

2.5 Basis of measurement

The financial statements of the Company have been prepared on the historical cost basis.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3. MATERIAL ACCOUNTING POLICY INFORMATION

Unless otherwise stated, the following material accounting policy information have been applied consistently to all the financial years presented in the financial statements of the Company.

3.1 Financial instruments

Financial assets – subsequent measurement and gain and loss

Debts instruments at amortised cost

The Company subsequently measures these assets at amortised cost under the effective interest method. The gross carrying amount is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.

Financial liabilities - subsequent measurement and gains and losses

The Company classifies the financial liabilities at amortised cost.

The Company subsequently measures other financial liabilities at amortised cost under the effective interest method. Interest expense and foreign exchange gains and losses are recognised in profit or loss. Any gain or loss on derecognition is also recognised in profit or loss.

3.2 Property, plant and equipment

Property, plant and equipment (other than right-of-use assets) are measured at cost less accumulated depreciation and any accumulated impairment losses.

All other property, plant and equipment are depreciated on straight-line basis by allocating their depreciable amounts over their remaining useful lives.

	Useful lives (years)
Furniture and fittings	10
Office equipment	10
Renovation	10
Motor vehicles	5
Computers and software	5

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3. MATERIAL ACCOUNTING POLICY INFORMATION (CONTINUED)

3.3 Investment property

Investment property is measured at cost less accumulated depreciation and any accumulated impairment losses.

Investment property is depreciated on straight-line basis by allocating their depreciable amounts over their remaining useful lives.

	Useful lives (years)
Office	50

3.4 Intangible assets

Intangible assets, other than goodwill and licenses, that are acquired by the Company, which have finite useful lives, are measured at cost less any accumulated amortisation and any accumulated impairment losses.

	Useful lives (years)
Development costs	5
Trademark	5
Acquired licenses	5

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3. MATERIAL ACCOUNTING POLICY INFORMATION (CONTINUED)

3.5 Leases

Lessee accounting

The Company presents right-of-use assets that do not meet the definition of investment property as property, plant and equipment in Note 5 and lease liabilities in Note 12.

Short-term leases and leases of low value assets

The Company has elected not to recognise right-of-use assets and lease liabilities for short-term leases (defined as leases with a lease term of 12 months or less) and leases of low value assets. Accordingly, the Company recognises the lease payments as an operating expense on a straight-line basis over the term of the lease.

Right-of-use assets

The right-of-use assets are measured at cost less accumulated depreciation and any accumulated impairment losses and adjust for any remeasurement of the lease liabilities. The right-of-use assets are depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term.

Lease liabilities

The lease liabilities are initially measured at the present value of the lease payments that are not paid at the commencement date, discounted by using the incremental borrowing rate.

The Company has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component

3.6 Revenue

(a) Rendering of services

Revenue from a contract to provide services is recognised over time as the services are rendered because the customer receives and uses the benefits simultaneously. This is determined based on the time elapsed (output method).

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

4. SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

The preparation of financial statements in conformity with MFRSs requires the use of certain critical accounting estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements, and the reported amounts of the revenue and expenses during the reporting period. It also requires directors to exercise their judgement in the process of applying the Company's accounting policies. Although these estimates and judgement are based on the directors' best knowledge of current events and actions, actual results may differ.

There were no significant accounting judgements, estimates and assumption during the financial year under review.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

5. PROPERTY, PLANT AND EQUIPMENT

	Note	Furniture and fittings RM	Office equipment RM	Renovation RM	Motor vehicles RM (a)	development and programmes RM	Office building RM	Computers and software RM	Total RM
Cost									
At 1 January 2024									
- As previously stated		26,218	253,501	89,776	1,060,728	35,950	1,245,092	209,366	2,920,631
- Prior year adjustments	27	-	-	-	-	(35,950)	(1,245,092)	(157,000)	(1,438,042)
As restated		26,218	253,501	89,776	1,060,728	-	-	52,366	1,482,589
Additions		-	-	-	503,450	-	-	46,970	550,420
Disposals		-	(37,018)	-	-	-	-	-	(37,018)
At 31 December 2024		26,218	216,483	89,776	1,564,178	-	-	99,336	1,995,991
Accumulated depreciation									
At 1 January 2024									
- As previously stated		11,297	124,283	58,691	77,627	5,250	124,510	11,270	412,928
- Prior year adjustments	27	-	-	-	-	(5,250)	(124,510)	(2,617)	(132,377)
As restated		11,297	124,283	58,691	77,627	-	-	8,653	280,551
Depreciation charge for the		-	-	-	-	-	-	-	-
financial year	21	2,622	25,081	8,978	232,846	-	-	12,007	281,534
Disposals		-	(24,732)	-	-	-	-	-	(24,732)
At 31 December 2024		13,919	124,632	67,669	310,473	-	-	20,660	537,353
Carrying amount									
At 1 January 2024 (restated)		14,921	129,218	31,085	983,101	-	-	43,713	1,202,038
At 31 December 2024		12,299	91,851	22,107	1,253,705	-	-	78,676	1,458,638

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

5. PROPERTY, PLANT AND EQUIPMENT (CONTINUED)

	Note	Furniture and fittings RM	Office equipment RM	Renovation RM	Motor vehicles RM	development and programmes RM	Office building RM	Computers and software RM	Total RM
Cost									
At 1 January 2023									
- As previously stated		26,218	252,655	89,776	-	35,950	1,245,092	17,879	1,667,570
- Prior year adjustments	27	-	-	-	-	(35,950)	(1,245,092)	-	(1,281,042)
As restated		26,218	252,655	89,776	-	-	-	17,879	386,528
Additions									
- As previously stated		-	846	-	1,060,728	-	-	191,487	1,253,061
- Prior year adjustments	27	-	-	-	-	-	-	(157,000)	(157,000)
As restated		-	846	-	1,060,728	-	-	34,487	1,096,061
At 31 December 2023		26,218	253,501	89,776	1,060,728	-	-	52,366	1,482,589
Accumulated depreciation									
At 1 January 2023									
- As previously stated		8,675	98,969	49,713	-	4,250	99,608	2,196	263,411
- Prior year adjustments	27	-	-	-	-	(4,250)	(99,608)	-	(103,858)
As restated		8,675	98,969	49,713	-	-	-	2,196	159,553
Depreciation charge for the financial year									
- As previously stated		2,622	25,314	8,978	77,627	1,000	24,902	9,074	149,517
- Prior year adjustments	27	-	-	-	-	(1,000)	(24,902)	(2,617)	(28,519)
As restated	21	2,622	25,314	8,978	77,627	-	-	6,457	120,998
At 31 December 2023		11,297	124,283	58,691	77,627	-	-	8,653	280,551
Carrying amount									
At 1 January 2023 (restated)		17,543	153,686	40,063	-	-	-	15,683	226,975
At 31 December 2023 (restated)		14,921	129,218	31,085	983,101	-	-	43,713	1,202,038

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

5. PROPERTY, PLANT AND EQUIPMENT (CONTINUED)

(a) Assets pledged as security

Motor vehicles with carrying amount of RM1,253,705 (31.12.2023: RM983,101) have been pledged as security for hire purchase arrangements as disclosed in Note 14.

6. RIGHT-OF-USE ASSETS

	Note	Office RM	Total RM
Cost			
At 1 January 2023			
- As previously stated		-	-
- Prior year adjustments	27	309,180	309,180
As restated		309,180	309,180
Additions		-	-
At 31 December 2023 (restated)		309,180	309,180
Additions		-	-
At 31 December 2024		309,180	309,180
Accumulated depreciation			
At 1 January 2023			
- As previously stated		-	-
- Prior year adjustments	27	95,132	95,132
As restated		95,132	95,132
Depreciation charge for the financial year			
- As previously stated		-	-
- Prior year adjustments	27	95,133	95,133
As restated	21	95,133	95,133
At 31 December 2023 (restated)		190,265	190,265
Depreciation charge for the financial year	21	95,132	95,132
At 31 December 2024		285,397	285,397
Carrying amount			
At 1 January 2023 (restated)		214,048	214,048
At 31 December 2023 (restated)		118,915	118,915
At 31 December 2024		23,783	23,783

The right-of-use assets represent the office of the Company for its business operation. The leases are mainly for an initial lease of 2 years.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

7. INVESTMENT PROPERTY

	Note	Office RM	Total RM
Cost			
At 1 January 2023			
- As previously stated		-	-
- Prior year adjustments	27	1,245,091	1,245,091
As restated		1,245,091	1,245,091
Additions		-	-
At 31 December 2023 (restated)		1,245,091	1,245,091
Additions		-	-
At 31 December 2024		1,245,091	1,245,091
Accumulated depreciation			
At 1 January 2023			
- As previously stated		-	-
- Prior year adjustments	27	99,607	99,607
As restated		99,607	99,607
Depreciation charge for the financial year			
- As previously stated		-	-
- Prior year adjustments	27	24,902	24,902
As restated	21	24,902	24,902
At 31 December 2023 (restated)		124,509	124,509
Depreciation charge for the financial year	21	24,902	24,902
At 31 December 2024		149,411	149,411
Carrying amount			
At 1 January 2023 (restated)		1,145,484	1,145,484
At 31 December 2023 (restated)		1,120,582	1,120,582
At 31 December 2024		1,095,680	1,095,680

The following are recognised in profit or loss in respect of the investment property.

	2024 RM	2023 RM
Rental income	49,800	49,800

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

8. INTANGIBLE ASSETS

	Note	Development costs RM	Trademark RM	Acquired licenses RM	Total RM
Cost					
At 1 January 2023		-	-	-	-
Additions					
- Acquired separately					
- As previously stated		-	3,600	-	3,600
- Prior year adjustments	27	-	-	157,000	157,000
As restated		-	3,600	157,000	160,600
At 31 December 2023 (restated)		-	3,600	157,000	160,600
Additions					
- Developed internally		1,001,388	-	-	1,001,388
At 31 December 2024		1,001,388	3,600	157,000	1,161,988
Accumulated amortisation					
At 1 January 2023		-	-	-	-
Amortisation charge for the financial year					
- As previously stated		-	30	-	30
- Prior year adjustments	27	-	-	2,617	2,617
As restated	21	-	30	2,617	2,647
At 31 December 2023 (restated)		-	30	2,617	2,647
Amoritsation charge for the financial year	21	50,069	360	31,400	81,829
At 31 December 2024		50,069	390	34,017	84,476
Carrying amount					
At 1 January 2023 (restated)		-	-	-	-
At 31 December 2023 (restated)		-	3,570	154,383	157,953
At 31 December 2024		951,319	3,210	122,983	1,077,512

The amortisation of development cost, trademark and licenses of the Company amounting to RM81,829 (2023: RM2,647) respectively are included in cost of sales.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

9. INVESTMENT IN ASSOCIATE

	Note	31.12.2024 RM	31.12.2023 Restated RM	1.1.2023 Restated RM
Unquoted shares - at cost		-	-	45,000

Details of associates is as follows:

Name of company	Principal place of business	Ownership interest 31.12.2024 %	31.12.2023 %	01.01.2023 %	Nature of relationship
Prima Health Systems Sdn. Bhd.	Malaysia	-	-	45	To carry on the business of developing information technology

10. TRADE AND OTHER RECEIVABLES

	Note	31.12.2024 RM	31.12.2023 Restated RM	1.1.2023 Restated RM
Trade				
Trade receivables	(a)			
- Third parties		599,046	1,479,007	73,694
- Related parties		1,410,310	-	-
		2,009,356	1,479,007	73,694
Non-trade				
Deposits		39,982	41,837	41,086
Prepayments		-	-	14,707
Amount owing by a director	(b)	-	231,021	186,020
Amount owing by related parties	(c)	2,011,252	1,119,927	1,039,582
		2,051,234	1,392,785	1,281,395
Total trade and other receivables		4,060,590	2,871,792	1,355,089

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

10. TRADE AND OTHER RECEIVABLES (CONTINUED)

(a) Trade receivables

Trade receivables are non-interest bearing and normal credit terms offered by the company is 30 days (31.12.2023: 30 days and 1.1.2023: 30 days) from the date of invoices. Other credit terms are assessed and approved on a case by case basis.

Trade receivables that are impaired

There are no trade receivables that are impaired at the reporting date.

(b) Amount owing by a director

Amount owing by a director are unsecured, non-interest bearing, repayable on demand and is expected to be settled in cash.

(c) Amount owing by the related parties

Amount owing by related parties is unsecured, non-trade in nature, non-interest bearing, repayment on demand and are expected to be settled in cash.

Amount owing by related parties that are impaired

There are no amount owing by related parties that are impaired at the reporting date

The information about the credit exposures are disclosed in Note 24 (b)(i).

11. DEVELOPMENT COSTS

	31.12.2024 RM	31.12.2023 Restated RM	1.1.2023 Restated RM
Intangible asset under development			
- Development costs	546,419	-	-

Development costs included in intangible asset under development are capitalise assets costs incurred in the course of ongoing projects. These costs expected to be capitalised as intangible assets upon project completion.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

12. CASH AND SHORT-TERM DEPOSITS

	31.12.2024 RM	31.12.2023 Restated RM	1.1.2023 Restated RM
Cash at banks	96,898	74,192	54,727

For the purpose of the statement of cash flows, cash and cash equivalents comprise of the following:

	31.12.2024 RM	31.12.2023 Restated RM	1.1.2023 Restated RM
Cash and bank balances	96,898	74,192	54,727
Bank overdrafts	(92,045)	(421,578)	(89,556)
	4,853	(347,386)	(34,829)

(a) During the financial year under review, the Company made the following cash payments to purchase property, plant and equipment.

	Note	1.1.2024 to 31.12.2024 RM	1.1.2023 to 31.12.2023 RM
Purchase of property, plant and equipment	5	550,420	1,096,061
Financed by way of hire purchase arrangements		(413,000)	(909,000)
Cash payments on purchase of property, plant and equipment		137,420	187,061

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

12. CASH AND SHORT-TERM DEPOSITS (CONTINUED)

(b) Reconciliation of changes in liabilities arising from financing activities are as follows:

	1.1.2024 RM	Cash flows RM	Non-cash Others RM	31.12.2024 RM
Term loans	2,335,807	(288,081)	-	2,047,726
Lease liabilites	127,328	(101,439)	-	25,889
Hire purchase payables	876,754	(143,427)	413,000	1,146,327
Amount owing by related parties	(1,119,927)	(891,325)	-	(2,011,252)
Amount owing to a director	839,221	(26,081)	-	813,140
	3,059,183	(1,450,353)	413,000	2,021,830

	1.1.2023 RM	Cash flows RM	Non-cash Others RM	31.12.2023 RM
Term loans	2,134,738	201,069	-	2,335,807
Lease liabilites	223,848	(96,520)	-	127,328
Hire purchase payables	11,589	(43,835)	909,000	876,754
Amount owing by related parties	(1,039,582)	(80,345)	-	(1,119,927)
Amount owing to a director	408,350	430,871	-	839,221
	1,738,943	411,240	909,000	3,059,183

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

13. SHARE CAPITAL

	Number of ordinary shares		
	31.12.2024 Unit	31.12.2023 Unit	1.1.2023 Unit
Issued and fully paid-up			
At 1 January/31 December	100,100	100,100	100,100

	Amount		
	31.12.2024 RM	31.12.2023 RM	1.1.2023 RM
Issued and fully paid-up			
At 1 January/31 December	100,100	100,100	100,100

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company. All ordinary shares rank equally with regard to the Company's residual assets.

14. LOANS AND BORROWINGS

	Note	31.12.2024 RM	31.12.2023 Restated RM	1.1.2023 Restated RM
Non-current:				
Term loans	(a)	1,747,645	2,038,708	1,912,373
Hire purchase payables	(b)	959,506	747,460	-
		2,707,151	2,786,168	1,912,373
Current:				
Term loans	(a)	300,081	297,099	222,365
Hire purchase payables	(b)	186,821	129,294	11,589
Bank overdrafts	(c)	92,045	421,578	89,556
		578,947	847,971	323,510
Total loans and borrowings:				
Term loans	(a)	2,047,726	2,335,807	2,134,738
Hire purchase payables	(b)	1,146,327	876,754	11,589
Bank overdrafts	(c)	92,045	421,578	89,556
		3,286,098	3,634,139	2,235,883

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

14. LOANS AND BORROWINGS (CONTINUED)

(a) Term Loans

Term loans of RM2,047,726 (31.12.2023: RM2,335,807 and 1.1.2023: RM2,134,738) bears interest ranging from 4.55% - 11.00% (31.12.2023: 4.55% - 11.00% and 1.1.2023: 4.55% - 11.00%) per annum and is repayable by monthly installments over two to eight years commencing from the day of first drawdown and is secured and supported as follows:

(i) Legal charge over the fresh joint and several guarantees of directors; and
(ii) Corporate guarantee of the Company.

(b) Hire purchase payables

Hire purchase payables of the Company of RM1,146,327 (31.12.2023: RM876,754 and 1.1.2023: 11,589) bear interest ranging from 2.36% - 3.30% (31.12.2023: 2.46% - 3.03% and 1.1.2023: 0.5%) per annum and are secured by the Company motor vehicles and machinery under hire purchase arrangements as disclosed in Note 5(a).

Future minimum lease payment together with the present value of net minimum lease payment are as follows:

	31.12.2024 RM	31.12.2023 Restated RM	1.1.2023 Restated RM
Minimum lease payments:			
- Not later than one year	238,572	168,564	18,305
- Later than one year and not later than five years	1,024,622	760,186	-
- Later than five years	58,293	82,961	-
	1,321,487	1,011,711	18,305
Less: Future finance charges	(175,160)	(134,957)	(6,716)
Present value of minimum lease payments	1,146,327	876,754	11,589
Present value of minimum lease payment:			
- Not later than one year	186,821	129,294	11,589
- Later than one year and not later than five years	902,523	666,086	-
- Later than five years	56,983	81,374	-
	1,146,327	876,754	11,589
Less: Amount due within twelve months	(186,821)	(129,294)	(11,589)
Amount due after twelve months	959,506	747,460	-

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

14. LOANS AND BORROWINGS (CONTINUED)

(c) Bank overdrafts

Bank overdrafts of the Company of RM92,045 (31.12.2023: RM421,578 and 1.1.2023: RM89,556) bear interest at 5.9% (31.12.2023: 5.9% and 1.1.2023: 5.9%) per annum and is secured and supported as follows:

(i) Legal charge over the fresh joint and several guarantees of directors; and
(ii) Corporate guarantee of the Company.

15. LEASE LIABILITIES

	31.12.2024 RM	31.12.2023 Restated RM	1.1.2023 Restated RM
Non-current:			
Lease liabilities	-	25,889	127,328
Current:			
Lease liabilities	25,889	101,439	96,520
Total			
Lease liabilities	25,889	127,328	223,848

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

15. LEASE LIABILITIES (CONTINUED)

Future minimum lease payments together with the present value of net minimum lease payments are as follows:

	31.12.2024 RM	31.12.2023 Restated RM	1.1.2023 Restated RM
Minimum lease payments:			
- Not later than one year	25,950	103,500	101,400
- Later than one year and not later than five years	-	25,950	129,450
	25,950	129,450	230,850
Less: Future finance charges	(61)	(2,122)	(7,002)
Present value of minimum lease payments	25,889	127,328	223,848
Present value of minimum lease payment:			
- Not later than one year	25,889	101,439	96,520
- Later than one year and not later than five years	-	25,889	127,328
	25,889	127,328	223,848
Less: Amount due within twelve months	(25,889)	(101,439)	(96,520)
Amount due after twelve months	-	25,889	127,328

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

16. TRADE AND OTHER PAYABLES

	Note	31.12.2024 RM	31.12.2023 Restated RM	1.1.2023 Restated RM
Trade				
Trade payables	(a)			
- Third parties		103,613	197,748	33,110
Non-trade				
Others payables		56,097	38,345	33,238
Amount owing to a director	(b)	813,140	1,070,242	594,370
Accruals		645,425	586,480	160,358
Sales and service tax ("SST") payables		114,309	79,405	17,040
		1,628,971	1,774,472	805,006
Total trade and other payables		1,732,584	1,972,220	838,116

(a) Trade payables

Trade payables are non-interest bearing and the normal trade credit term granted to the Company ranging from 30 to 60 days (31.12.2023: 30 to 60 days and 1.1.2023: 30 to 60 days).

(b) Amount owing to a director

Amount owing to a director and related companies are unsecured, non-trade in nature, non-interest bearing and with no fixed term of payment.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

17. CONTRACT LIABILITIES

	31.12.2024 RM	31.12.2023 Restated RM	1.1.2023 Restated RM
Contract liabilities relating to contract service works with customers	46,178	-	-

(a) Contract liabilities

The contract liabilities represent deposit received for services to be rendered for which performance obligation have been satisfied. The contract liabilities are expected to be recognised as revenue once performance obligation is satisfied which services are rendered to the customer.

(b) Significant changes in contract liabilities

	31.12.2024 Contract liabilities (Increase) RM	31.12.2023 Restated Contract liabilities (Increase) RM	1.1.2023 Restated Contract liabilities (Increase) RM
Increase due to revenue recognised for unbilled services during the financial year	(46,178)	-	-

18. REVENUE

	2024 RM	2023 Restated RM
Revenue from contract customers:		
Service rendered	17,753,708	11,320,033
Timing of revenue recognition:		
Over time	17,753,708	11,320,033

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

19. OTHER INCOME

	2024 RM	2023 Restated RM
Rental income from investment property	49,800	49,800
Management fee from related parties	41,400	96,600
	91,200	146,400

20. FINANCE COSTS

	2024 RM	2023 Restated RM
Interest expense on:		
- Bank overdrafts	29,028	5,221
- Hire purchase payables	37,382	3,055
- Term loans	135,376	145,302
- Lease liabilities	2,061	4,880
	203,847	158,458

21. PROFIT BEFORE TAX

Other than disclosed elsewhere in the financial statements, the following items have been charged in arriving at profit before tax:

	Note	2024 RM	2023 Restated RM
Amortization of intagible assets	8	81,829	2,647
Auditors' remuneration - statutory audit:			
- Baker Tilly Monteiro Heng PLT		40,000	-
- Other auditors		-	7,500
Bad debt written off		-	146,800
Depreciation of:			
- Investment property	7	24,902	24,902
- Property, plant and equipment	5	281,534	120,998
- Right-of-use assets	6	95,132	95,133

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

21. PROFIT BEFORE TAX (CONTINUED)

Other than disclosed elsewhere in the financial statements, the following items have been charged in arriving at profit before tax (continued):

	Note	2024 RM	2023 Restated RM
Employee benefits expense	22	10,174,338	8,410,810
Loss on disposal of investment in associate		-	44,998
Loss on disposal of property, plant and equipment		12,214	-
Rental expenses on :			
- Computer		126,315	94,680
- Phonebooth		7,691	4,398

22. EMPLOYEE BENEFITS EXPENSES

	2024 RM	2023 Restated RM
Salaries, allowances and bonuses	9,097,089	7,585,700
Defined contribution plans	771,680	599,193
Other staff related benefits	305,569	225,917
	10,174,338	8,410,810

Included in employee benefits expenses are:

	2024 RM	2023 Restated RM
Included in employee benefits expenses are:		
Directors' remuneration		
- Salaries and allowances	644,000	499,200
- Defined contribution plans	49,320	37,344
- Other staff related benefits	1,217	1,158
	694,537	537,702

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

23. INCOME TAX EXPENSE

The major components of income tax expense for the financial years ended 31 December 2024 and 31 December 2023 are as follows:

	2024 RM	2023 Restated RM
Statements of comprehensive income		
Current income tax:		
- Current income tax charge	917,303	-
- Adjustment in respect of previous financial year	7,470	-
Income tax expenses recognised in profit or loss	924,773	-

Domestic income tax is calculated at the Malaysia statutory income tax rate of 24% (2023: 24%) of the estimated assessable profit for the financial year.

The income tax rate applicable to small and medium scale enterprise ("SME") is incorporated in Malaysia with paid up capital of RM2,500,000 and below and annual sales less than RM50,000,000 is subject to statutory income tax rate of 15% (2023: 15%) on the first chargeable income up to RM150,000 and 17% (2023: 17%) on the next RM450,000. For chargeable income in excess of RM600,000, statutory tax rate of 24% is still applicable.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

23. INCOME TAX EXPENSE (CONTINUED)

The reconciliation from the tax amount at the statutory income tax rate to the Company's tax expense are as follows:

	2024 RM	2023 Restated RM
Profit before tax	3,734,486	102,664
Tax at Malaysian statutory income tax rate of 24%	896,277	24,639
SME tax saving	(45,000)	(7,186)
Adjustments:		
- Income not subject to tax	(11,952)	-
- Non-deductible expenses	86,273	46,846
- Utilisation of previously unrecognised tax losses	(8,295)	(64,299)
- Adjustment in respect of current income tax of prior years	7,470	-
- Adjustment in respect of deferred tax of prior years	-	-
Income tax expense	924,773	-

24. FINANCIAL INSTRUMENTS

(a) Categories of financial instruments

The following table analyses the financial instruments in the statement of financial position by the classes of financial instruments to which they are assigned:

	Carrying amount RM	Amortised cost RM
At 31 December 2024		
Financial assets		
Trade and other receivables, less prepayments	4,060,590	4,060,590
Cash and short-term deposits	96,898	96,898
	4,157,488	4,157,488
Financial liabilities		
Loans and borrowings	(3,286,098)	(3,286,098)
Lease liabilities	(25,889)	(25,889)
Trade and other payables, less SST payables	(1,618,275)	(1,618,275)
	(4,930,262)	(4,930,262)

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

24. FINANCIAL INSTRUMENTS (CONTINUED)

(a) Categories of financial instruments (continued)

The following table analyses the financial instruments in the statement of financial position by the classes of financial instruments to which they are assigned (continued):

At 31 December 2023		
Financial assets		
Trade and other receivables, less prepayments	2,871,792	2,871,792
Cash and short-term deposits	74,192	74,192
	2,945,984	2,945,984
Financial liabilities		
Loans and borrowings	(3,634,139)	(3,634,139)
Lease liabilities	(127,328)	(127,328)
Trade and other payables, less SST payables	(1,892,815)	(1,892,815)
	(5,654,282)	(5,654,282)
At 1 January 2023		
Financial assets		
Trade and other receivables, less prepayments	1,340,382	1,340,382
Cash and short-term deposits	54,727	54,727
	1,395,109	1,395,109
Financial liabilities		
Loans and borrowings	(2,235,883)	(2,235,883)
Lease liabilities	(223,848)	(223,848)
Trade and other payables, less SST payables	(821,076)	(821,076)
	(3,280,807)	(3,280,807)

(b) Financial risk management

The Company's activities are exposed to a variety of financial risks arising from its operations and the use of financial instruments. The key financial risks include credit risk and liquidity risk. The Company's overall financial risk management objective is to optimise value for its shareholders. The Company does not trade in financial instruments.

The Board of Directors review and agree to policies and procedures for the management of these risks, which are executed by the Company's senior management.

24. FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial risk management (continued)

(i) Credit risk

Credit risk is the risk of financial loss to the Company that may arise on outstanding financial instruments should a counterparty default on its obligations. The Company is exposed to credit risk from its operating activities. The Company has a credit policy in place and the exposure to credit risk is managed through the application of credit approvals, credit limits and monitoring procedures. Credit worthiness of a customer is assessed based on a set of evaluation criteria and individual credit limits are defined in accordance with this assessment.

The Company considers a financial asset to be in default when:

- the counterparty is unable to pay its credit obligations to the Company in full, without taking into account any credit enhancements held by the Company; or
- the contractual payment of the financial asset is more than 90 days past due unless the Company has reasonable and supportable information to demonstrate that a more lagging default criterion is more appropriate.

At the end of the reporting period, the Company assesses whether financial assets carried at amortised cost. A financial asset is credit-impaired when one or more events that have a detrimental impact on the estimated future cash flows of that financial asset have occurred. Those events evidence that a financial asset is credit-impaired include observable data about the following events:

- significant financial difficulty of the counterparty;
- a breach of contract, including a default event;
- a concession or restructuring of loans granted by the lender of the counterparty relating to the counterparty's financial difficulty; or
- it is probable that the counterparty will enter bankruptcy or other financial reorganisation.

The gross carrying amount of a financial asset is written off (either partially or in full) to the extent that there is no realistic prospect of recovery. This is generally the case when the Company determines that the debtor does not have assets or source of income that could generate sufficient cash flows to repay the amounts subject to the write-off. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Company's procedure for recovery of amounts due.

24. FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial risk management (continued)

(i) Credit risk (continued)

Trade receivables assets

As at the end of the reporting period, the maximum exposure to credit risk arising from trade receivables and contract assets is represented by the carrying amounts in the statements of financial position.

The carrying amount of trade receivables is not secured by any collateral or supported by any other credit enhancements. The Company has adopted a policy of dealing with creditworthy counterparties as a means of mitigating the risk of financial loss from defaults. The Company use ageing analysis to monitor the credit quality of trade receivables. In managing credit risks of trade receivables, the Company also take appropriate actions (including but not limited to legal actions) to recover long past due balances.

Credit risk concentration profile
At the end of the reporting period, the Company has a significant concentration of credit risk in the form of one (1) (2023: one (1)) trade receivables, representing approximately 66% (2023: 41%) of the Company's total trade receivables.

The Company apply the simplified approach to provide for impairment losses prescribed by MFRS 9, which permits the use of the lifetime expected credit losses provision for all trade receivables. The Company use a provision matrix to measure expected credit losses for trade receivables. To measure the expected credit losses, trade receivables have been grouped based on shared credit risk characteristics and the days past due. The impairment losses also incorporate forward looking information. Forward-looking information considered includes consideration of various external sources of actual and forecast economic information that relate to the Company's core operations. The Company believe that changes in economic conditions over these periods would not materially impact the impairment calculation of the receivables.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

24. FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial risk management (continued)

(i) Credit risk (continued)

The information about the credit risk exposure on the Group's and the Company's trade receivables and contract assets using provision matrix are as follows:

	Trade receivables						
	Current RM	1 to 30 days past due RM	31 to 60 days past due RM	61 to 90 days past due RM	91 to 120 days past due RM	> 120 days past due RM	Total RM
At 31 December 2024							
Expected credit loss rate		0%	0%	0%	0%	0%	
Gross carrying amount at default	298,520	339,761	65,520	1,305,555	-	-	2,009,356
At 31 December 2023 (restated)							
Expected credit loss rate		0%	0%	0%	0%	0%	
Gross carrying amount at default	368,920	358,947	-	110,000	-	641,140	1,479,007
At 1 January 2023 (restated)							
Expected credit loss rate		0%	0%	0%	0%	0%	
Gross carrying amount at default	33,049	23,267	-	530	-	16,848	73,694

24. FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial risk management (continued)

(i) Credit risk (continued)

Other receivables and other financial assets

For other financial assets (including bank balances), the Company minimises credit risk by dealing exclusively with high credit rating counterparties. At the reporting date, the Company's maximum exposure to credit risk arising from other financial assets is represented by the carrying amount of each class of financial assets recognised in the statement of financial position.

The Company considers the probability of default upon initial recognition of asset and whether there has been a significant increase in credit risk on an ongoing basis throughout each reporting period. To assess whether there is a significant increase in credit risk, the Company compares the risk of a default occurring on the asset as at the reporting date with the risk of default as at the date of initial recognition. It considers available reasonable and supportive forward-looking information. Especially the following indicators are incorporated, where applicable:

- internal credit rating;
- external credit rating (as far as available);
- actual or expected significant adverse changes in business, financial or economic conditions that are expected to cause a significant change to the counterparty's ability to meet its obligations;
- actual or expected significant changes in the operating results of the counterparty;
- significant increases in credit risk on other financial instruments of the same counterparty;
- significant changes in the value of the collateral supporting the obligation or in the quality of third-party guarantees or credit enhancements; and
- significant changes in the expected performance and behaviour of the counterparty, including changes in the payment status of counterparties in the group and changes in the operating results of the counterparty.

Macroeconomic information (such as market interest rates or growth rates) is incorporated as part of the internal rating model.

Regardless of the analysis above, a significant increase in credit risk is presumed if a debtor is more than credit term in making a contractual payment.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

24. FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial risk management (continued)

(i) Credit risk (continued)

Other receivables and other financial assets (continued)

Some intercompany balances comprise loans or advances which are repayable on demand. The Company regularly monitors the financial performance and position of these entities on an individual basis. When these entities' financial performance and position deteriorates significantly, the Company assumes that there is a significant increase in credit risk, and thereby a lifetime expected credit loss assessment is necessary. As the Company is able to determine the timing of repayment of the loans or advances, the Company will consider the loans or advances to be in default when these entities are unable to pay based on the expected manner of recovery and recovery period. The Company determines the probability of default for these loans or advances using internally available information. The Company considers the loans or advances to be credit-impaired when the entities are unlikely to repay their debts.

As at the end of the reporting date, the Company considers the other financial assets as low credit risk and any loss allowance would be negligible.

(ii) Liquidity risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting financial obligations when they fall due. The Company's exposure to liquidity risk arises primarily from mismatches of the maturities between financial assets and liabilities. The Company's exposure to liquidity risk arises principally from other payables.

The Company's objective is to maintain a balance between continuity of funding and flexibility through the use of stand-by facilities. The Company maintains sufficient liquidity and available funds to meet daily cash needs while maintaining controls and security over cash movements. The Company uses a series of processes to obtain maximum benefits from its flow of funds, such that they are efficiently managed to maximise income from investment and minimize cost of borrowed funds. The Company's finance department also ensures that there are sufficient unutilized stand-by facilities, funding and liquid assets available to meet both short-term and long-term funding requirements.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

24. FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial risk management (continued)

(ii) Liquidity risk (continued)

Maturity analysis
The maturity analysis of the Company's financial liabilities by their relevant maturity at the reporting date based on contractual undiscounted repayment obligations are as follows:

		← Contractual cash flows →			
	Carrying amount RM	On demand or within 1 year RM	Between 1 and 5 years RM	More than 5 years RM	Total RM
At 31 December 2024					
Trade and other payables, less SST payables	1,618,275	1,618,275	-	-	1,618,275
Term loans	2,047,726	417,655	1,099,184	1,357,749	2,874,588
Hire purchase payables	1,146,327	238,572	1,024,622	58,293	1,321,487
Bank overdrafts	92,045	92,045	-	-	92,045
Lease liabilities	25,889	25,950	-	-	25,950
	4,930,262	2,392,497	2,123,806	1,416,042	5,932,345
At 31 December 2023					
Trade and other payables, less SST payables	1,892,815	1,892,815	-	-	1,892,815
Term loans	2,335,807	417,654	1,341,378	1,533,210	3,292,242
Hire purchase payables	876,754	168,564	760,186	82,961	1,011,711
Bank overdrafts	421,578	421,578	-	-	421,578
Lease liabilities	127,328	103,500	25,950	-	129,450
	5,654,282	3,004,111	2,127,514	1,616,171	6,747,796
At 1 January 2023					
Trade and other payables, less SST payables	821,076	821,076	-	-	821,076
Term loans	2,134,738	344,305	1,207,095	1,575,332	3,126,732
Hire purchase payables	11,589	18,305	-	-	18,305
Bank overdrafts	89,556	89,556	-	-	89,556
Lease liabilities	223,848	101,400	129,450	-	230,850
	3,280,807	1,374,642	1,336,545	1,575,332	4,286,519

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

24. FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial risk management (continued)

(iii) Interest rate risk

Interest rate risk the risk of fluctuation in fair value or future cash flows of the Company's financial instruments as a result of changes in market interest rates. The Company's exposure to interest rate risk arises primarily from its loans and borrowings with floating interest rates.

Sensitivity analysis for interest rate risk
The following table demonstrates the sensitivity to a reasonably possible change in interest rates, with all other variables held constant on the Company's total equity and profit for financial years.

	Carrying amount RM	Change in basis point	Effect on equity and profit for the financial year RM
31 December 2024			
Term loans	2,047,726	+ 50	(7,781)
		- 50	7,781
31 December 2023			
Term loans	2,335,807	+ 50	(8,876)
		- 50	8,876
1 January 2023			
Term loans	2,134,738	+ 50	(8,112)
		- 50	8,112

(c) Fair value measurement

The carrying amounts of cash and cash equivalents, short-term receivables and payables reasonably approximate to their fair values due to the relatively short-term nature of these financial instruments.

There have been no transfers between Level 1, Level 2 and Level 3 during the financial year.

Other long term financial liabilities are reasonable approximation of fair value because they are floating rate instruments which are re-priced to market interest rates or estimated by discounting future cash flows using current lending rates for similar type of arrangements.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

25. RELATED PARTIES

(a) Identity of related parties

Parties are considered to be related to the Company if the Company has the ability, directly or indirectly, to control the party or exercise significant influence over the party in making financial and operational decisions, or vice versa, or where the Company and the party are subject to common control. Related parties may be individuals or other entities.

Related parties of the Company include:
(i) Key management personnel of the Company, comprise persons (including directors) having the authority and responsibility for planning, directing and controlling.

(b) Significant related party transactions

Significant related party transactions other than disclosed elsewhere in the financial statements are as follows:

	2024 RM	2023 RM
Sales of goods		
- Entity in which director has substantial financial interest	655,748	357,287
Management fees		
- Entity in which director has substantial financial interest	27,000	40,700
Rental income		
- Entity in which director has substantial financial interest	38,451	-

Significant outstanding balances with related parties at the end of the reporting period are as disclosed in Notes 10 and 16.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

25. RELATED PARTIES (CONTINUED)

(c) Compensation of key management personnel

	2024 RM	2023 Restated RM
Included in employee benefits expenses are:		
Directors' remuneration		
- Salaries and allowances	644,000	499,200
- Defined contribution plans	49,320	37,344
- Other staff related benefits	1,217	1,158
	694,537	537,702

26. CAPITAL MANAGEMENT

The primary objective of the Company's capital management is to ensure that it maintains a strong credit rating and healthy capital ratio in order to support their business and maximise shareholder value. The Company manages its capital structure and makes adjustments to it in light of changes in economic conditions. To maintain or adjust the capital structure, the Company may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. No changes were made in the objectives, policies and processes during the financial years ended 31 December 2024 and 31 December 2023.

The Company monitors capital using gearing ratio. The gearing ratio is calculated as total debts divided by total equity. The gearing ratio as at 31 December 2024 and 31 December 2023 are as follows:

	Note	2024 RM	2023 Restated RM
Loans and borrowings	14	3,286,098	3,634,139
Less: Cash and short-term deposits	12	(96,898)	(74,192)
Net debts		3,189,200	3,559,947
Total equity		2,678,995	(130,718)
Net gearing ratio (times)		1.19	N/A

N/A: Not meaningful

There were no changes in the Company's approach to capital management during the financial year under review.

The Company is not subjected to externally imposed capital requirements.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

27. PRIOR YEARS ADJUSTMENTS AND COMPARATIVE FIGURES

(a) The comparative figures have been audited by a firm of Chartered Accountants other than Messrs Baker Tilly Monteiro Heng PLT.

(b) The prior year adjustments were in relation the following fundamental errors made in prior financial statements:

(i) Effect of transition to MFRSs;
(ii) Overstatement of property, plant and equipment;
(iii) Overstatement of lease interest; and
(iv) Reclassification of accounts.

As a result of the above, prior year adjustments, corresponding adjustments have been made to the statement of changes in equity and the statement of cash flows are as follows:

	As previously reported RM	← Prior year adjustments (i) RM	(ii) RM	(iii) RM	(iv) RM →	As restated RM
As at 31 December 2023						
Statement of financial position						
Non-current assets						
Property, plant and equipment	2,507,703	-	(30,700)	-	(1,274,965)	1,202,038
Right-of-use assets	-	118,915	-	-	-	118,915
Investment property	-	-	-	-	1,120,582	1,120,582
Intangible assets	3,570	-	-	-	154,383	157,953
Current assets						
Trade and other receivables	2,445,793	-	-	-	425,999	2,871,792

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

27. PRIOR YEARS ADJUSTMENTS AND COMPARATIVE FIGURES (CONTINUED)

As a result of the above, prior year adjustments, corresponding adjustments have been made to the statement of changes in equity and the statement of cash flows are as follows (continued):

	As previously reported RM	← Prior year adjustments (i) RM	(ii) RM	(iii) RM	(iv) RM →	As restated RM
As at 31 December 2023						
Statement of financial position						
Equity attributable to owners of the Company						
Accumulated losses	169,934	8,413	30,699	(2,578)	24,350	230,818
Non-current liabilities						
Loans and borrowings	(2,681,113)	-	-	2,578	(107,633)	(2,786,168)
Lease liabilities	-	(25,889)	-	-	-	(25,889)
Current liabilities						
Trade and other payables	(1,521,871)	-	-	-	(450,349)	(1,972,220)
Loans and borrowings	(955,604)	-	-	-	107,633	(847,971)
Lease liabilities	-	(101,439)	-	-	-	(101,439)

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

27. PRIOR YEARS ADJUSTMENTS AND COMPARATIVE FIGURES (CONTINUED)

As a result of the above, prior year adjustments, corresponding adjustments have been made to the statement of changes in equity and the statement of cash flows are as follows (continued):

	As previously reported RM	← Prior year adjustments → (i) RM	(ii) RM	(iii) RM	(iv) RM	As restated RM
For the financial year ended 31 December 2023						
Statement of comprehensive income						
Revenue	(11,164,844)	-	-	-	(155,189)	(11,320,033)
Cost of sales	9,686,658	95,132	-	-	156,943	9,938,733
Other income	125,144	-	-	-	(271,544)	(146,400)
Administrative expenses	1,074,837	(101,400)	(1,000)	-	102,343	1,074,780
Other operating expenses	-	-	-	-	191,798	191,798
Finance costs	153,578	4,880	-	-	-	158,458
As at 1 January 2023						
Statement of financial position						
Non-current assets						
Property, plant and equipment	1,404,158	-	(31,699)	-	(1,145,484)	226,975
Right-of-use assets	-	214,048	-	-	-	214,048
Investment property	-	-	-	-	1,145,484	1,145,484

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

27. PRIOR YEARS ADJUSTMENTS AND COMPARATIVE FIGURES (CONTINUED)

As a result of the above, prior year adjustments, corresponding adjustments have been made to the statement of changes in equity and the statement of cash flows are as follows (continued):

	As previously reported RM	Prior year adjustments (i) RM	(ii) RM	(iii) RM	(iv) RM	As restated RM
As at 1 January 2023						
Statement of financial position						
Equity attributable to owners of the Company						
Accumulated losses	294,561	9,800	31,699	(2,578)	-	333,482
Non-current liabilities						
Loans and borrowings	(1,787,285)	-	-	2,578	(127,666)	(1,912,373)
Lease liabilities	-	(127,328)	-	-	-	(127,328)
Current liabilities						
Loans and borrowings	(451,176)	-	-	-	127,666	(323,510)
Lease liabilities	-	(96,520)	-	-	-	(96,520)

Registration No. 201501005176 (1130506-W)

MANDRILL TECH SDN. BHD.
(Incorporated in Malaysia)

STATEMENT BY DIRECTORS
(Pursuant to Section 251(2) of the Companies Act 2016)

We, **LOW CHAN PHAN** and **YONG KHAI LING**, being two of the directors of MANDRILL TECH SDN. BHD., do hereby state that in the opinion of the directors, the accompanying financial statements are drawn up in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of Companies Act 2016 in Malaysia so as to give a true and fair view of the financial position of the Company as at 31 December 2024 and of its financial performance and cash flows for the financial year then ended.

Signed on behalf of the Board of Directors in accordance with a resolution of the directors.

.....
LOW CHAN PHAN
Director

.....
YONG KHAI LING
Director

Kuala Lumpur

Date: 30 JUN 2025

Registration No. 201501005176 (1130506-W)

MANDRILL TECH SDN. BHD.
(Incorporated in Malaysia)

STAUTORY DECLARATION
(Pursuant to Section 251(1) of the companies Act 2016)

I, **LOW CHAN PHAN**, being the director primarily responsible for the financial management of **MANDRILL TECH SDN.BHD.**, do solemnly and sincerely declare that to the best of my knowledge and belief, the accompanying financial statements are correct, and I make this solemn declaration conscientiously believing the same to be true and by virtue of the provisions of the Statutory Declarations Act, 1960.

.....
LOW CHAN PHAN

Subscribed and solemnly declared by the abovenamed at Kuala Lumpur in the Federal Territory on 30 JUN 2025

Before me,

PESURUHJAYA SUMPAH
W 761
HADINUR MOHD SYARIF
01.01.2025 - 31.12.2027
MALAYSIA

.....
Commissioner for Oaths

CHAMBERS TWENTY - FIVE
NO 25, JALAN TUNKU, BUKIT TUNKU
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Registration No. 201501005176 (1130506-W)

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF MANDRILL TECH SDN. BHD.
(Incorporated in Malaysia)

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of is MANDRILL TECH SDN. BHD., which comprise the statement of financial position as at 31 December 2024 of the Company, and the statement of comprehensive income, statement of changes in equity and statement of cash flows of the Company for the financial year then ended, and notes to the financial statements, including material accounting policy information, as set out on pages 7 to 54.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at 31 December 2024, and of its financial performance and its cash flows for the financial year then ended in accordance with the Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act 2016 in Malaysia.

Basis for Opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the *Auditors' Responsibilities for the Audit of the Financial Statements* section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence and Other Ethical Responsibilities

We are independent of the Company in accordance with the By-Laws *(on Professional Ethics, Conduct and Practice)* of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants* (*including International Independence Standards*) ("IESBA Code"), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Baker Tilly Malaysia and its related entities in Malaysia trading as Baker Tilly is a member of the global network of Baker Tilly International Ltd., the members of which are separate and independent legal entities.

Information Other than the Financial Statements and Auditors' Report Thereon

The directors of the Company are responsible for the other information. The other information comprises the Directors' Report but does not include the financial statements of the Company and our auditors' report thereon.

Our opinion on the financial statements of the Company does not cover the Directors' Report and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements of the Company, our responsibility is to read the Directors' Report and, in doing so, consider whether the Directors' Report is materially inconsistent with the financial statements of the Company or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this Directors' Report, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors for the Financial Statements

The directors of the Company are responsible for the preparation of financial statements of the Company that give a true and fair view in accordance with the Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act 2016 in Malaysia. The directors are also responsible for such internal control as the directors determine is necessary to enable the preparation of financial statements of the Company that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements of the Company, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

The directors of the Company are responsible for overseeing the Company's financial reporting process.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements of the Company as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- identify and assess the risks of material misstatement of the financial statements of the Company, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements of the Company or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- evaluate the overall presentation, structure and content of the financial statements of the Company, including the disclosures, and whether the financial statements of the Company represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Registration No. 201501005176 (1130506-W)

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF MANDRILL TECH SDN. BHD.
(Incorporated in Malaysia)

Other Matters

1. As stated in Note 2.2 to the financial statements, the Company adopted the Malaysian Financial Reporting Standards on 1 January 2024 with a transition date of 1 January 2023. These standards were applied retrospectively by the directors to the comparative information in these financial statements, including the statements of financial position of the Company as at 31 December 2023 and 1 January 2023, and the statements of comprehensive income, statements of changes in equity and statements of cash flows of the Company for the financial year ended 31 December 2023 and related disclosures. We were not engaged to report on the restated comparative information and it is unaudited. Our responsibilities as part of our audit of the financial statements of the Company for the financial year ended 31 December 2024 have, in these circumstances, including obtaining sufficient appropriate audit evidence that the opening balances as at 1 January 2023 do not contain misstatements that materially affect the financial position as at 31 December 2024 and the financial performance and cash flows for the financial year then ended.

2. The audited financial statements of the Company for the financial year ended 31 December 2023 were audited by another firm of Chartered Accountants whose report dated 6 May 2024 expressed an unmodified opinion on those financial statements.

3. This report is made solely to the members of the Company, as a body, in accordance with Section 266 of the Companies Act 2016 in Malaysia and for no other purpose. We do not assume responsibility to any other person for the contents of this report.

Baker Tilly Monteiro Heng PLT
201906000600 (LLP0019411-LCA) & AF 0117
Chartered Accountants

Paul Tan Hong
No. 03459/11/2025 J
Chartered Accountant

Kuala Lumpur

Date: 30 June 2025